DEEP DIVE

When Drones Hit the Cloud: The AWS Middle East Strikes

A retrospective on the first military attack on hyperscale cloud infrastructure

March 2026 | Engineering Digest | DD-1

FOREWORD

On March 1, Iranian drone strikes hit AWS data centres in the UAE and Bahrain. Over 109 cloud services went dark. Banking apps crashed. Payment platforms froze. And engineering teams across the Gulf discovered something the industry had spent two decades abstracting away: the cloud has a physical layer, and that physical layer exists in the real world where geopolitics, conflict, and kinetic weapons happen. This wasn't a misconfiguration. It was structural damage, fire, and water from suppression systems — with recovery measured in weeks.

We're dedicating a full issue to this event because it changes the risk calculus for any organisation operating in the Middle East, and by extension for anyone who assumed cloud infrastructure exists in a safe, abstract layer removed from the physical world. The CSIS called it the first major military strike on hyperscale cloud infrastructure. There will be others. What follows is what happened, who was affected, what it exposed, and what it means.

HOW TO READ THIS ISSUE

2 minutes	Read the executive summary and key takeaway box at the end
10 minutes	Add the foreword, cascade diagram, and lessons section
30 minutes	Read the full issue end to end

EXECUTIVE SUMMARY

What Happened and Why It Matters

On March 1, 2026, Iranian retaliatory drone strikes hit two Amazon Web Services data centres in the UAE and damaged a third facility in Bahrain. Two of three availability zones in the ME-CENTRAL-1 region went offline — not degraded, offline. Over 109 services were disrupted. Banking apps, payment platforms, and enterprise software across the region went dark. Recovery took weeks, not hours.

This was the first time a major hyperscale cloud provider's infrastructure was directly hit by military action. It introduced a category of risk that the industry had theorised about but never experienced: kinetic attacks on the digital infrastructure that underpins the Gulf's financial system. AWS initially described the cause as "objects" before confirming drone strikes 36 hours later — then issued an advisory unprecedented in the company's history, telling customers to migrate workloads to alternate regions entirely.

For engineering teams operating in the region — particularly those in banking, payments, and fintech — the implications are structural. Multi-AZ redundancy within a single region, the standard resilience playbook, assumed that availability zones fail independently through technical faults. That assumption broke when two out of three zones were hit simultaneously by coordinated military strikes, with a third zone in a neighbouring country also damaged the same day.

The data residency paradox made it worse. UAE and Bahrain central bank mandates require financial data to stay in-region. But the region's infrastructure was physically destroyed. Failing over to another region resolves the technical outage but creates a legal one. Many organisations discovered at 4:30 AM that they had no pre-approved authority for cross-border failover under emergency conditions.

109+	3	2/3	16+
SERVICES AFFECTED	FACILITIES HIT	UAE AZS OFFLINE	DAYS WITHOUT RESTORATION

THE FULL TIMELINE

From First Strike to Prolonged Recovery

PHASE 1 — MARCH 1: THE STRIKES

> **4:30 AM PST** — "Objects" strike the mec1-az2 availability zone in UAE. Fire breaks out inside the data centre. Local fire department responds and shuts off all power — including backup generators — to contain the blaze.

6:09 AM — AWS confirms power failure in mec1-az2. EC2 instances, EBS volumes, and RDS databases in the affected zone become unavailable. AWS frames it as a "localized power issue."

11:30 AM — Cascading failure. The second availability zone (mec1-az3) enters a degraded state. Only mec1-az1 remains partially operational — but EC2 API errors and launch failures are reported there too. Two of three AZs in the UAE region are now offline.

9:56 PM — ME-SOUTH-1 (Bahrain) hit. A drone strike in close proximity to an AWS facility causes physical damage to infrastructure. 46+ services affected in Bahrain. The attack surface now spans two countries.

PHASE 2 — MARCH 2–3: CONFIRMATION AND PARTIAL RECOVERY

March 2, 7:19 PM EST — AWS breaks its silence on the cause: "In the UAE, two of our facilities were directly struck, while in Bahrain, a drone strike in close proximity to one of our facilities caused physical impacts to our infrastructure. These strikes have caused structural damage, disrupted power delivery, and in some cases required fire suppression activities that resulted in additional water damage."

March 3, 8:14 AM — Partial S3 recovery begins. New PUT and LIST operations work; GET operations for pre-existing data remain dependent on physical infrastructure restoration. EC2 instance launches throttled. DynamoDB error rates elevated.

March 3 — AWS issues its strongest advisory in company history: "We continue to strongly recommend that customers with workloads running in the Middle East take action now to migrate those workloads to alternate AWS Regions."

PHASE 3 — MARCH 4 ONWARDS: PROLONGED RECOVERY

Week of March 3–10 — Physical repair of cooling systems, power infrastructure, and structural damage continues. AWS pursues parallel recovery: physical restoration alongside software mitigations to restore partial availability. A separate US-EAST-1 operational issue on March 1–2 (unrelated) compounds confusion.

Week of March 10–17 — AWS re:Post forum shows customers still unable to retrieve snapshots or migrate workloads from affected zones. Snowflake reports regional

> outages affecting enterprise data workloads. No confirmed full restoration date published. AWS continues to recommend alternate regions.

IMPACT ANALYSIS

Who Was Affected and How

Service tiers at peak disruption

Fully disrupted (UAE: 38 services, Bahrain: 46 services): EC2 (networking APIs returning 500s), EBS (volumes inaccessible), S3 (high failure rates), Lambda (invocations failing), Management Console (partial access only).

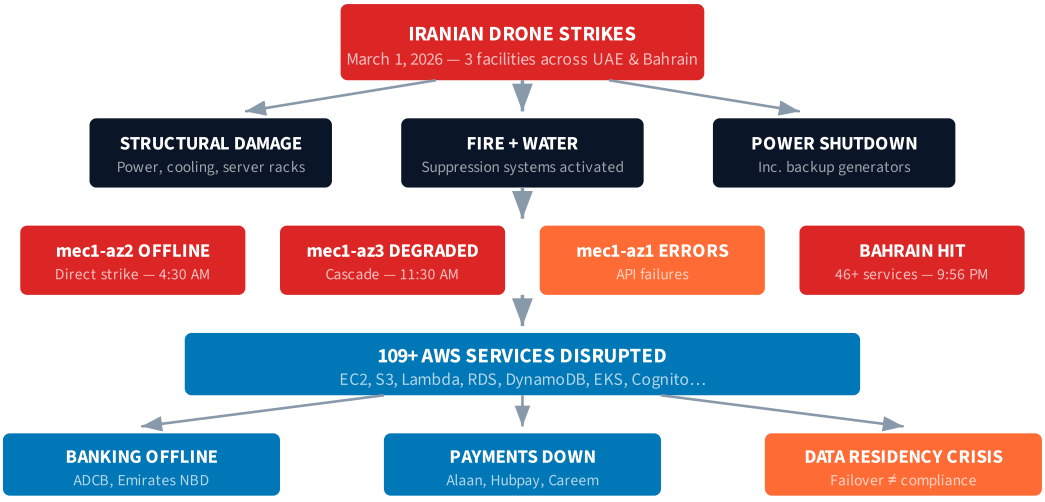
Degraded (24+ services): RDS, DynamoDB, Cognito (authentication), EKS (cluster management), VPC networking.

Impacted (remaining services): CloudFormation, Route 53, CloudWatch, Kinesis, WAF, SNS/SQS, and dozens more — cascading failures from the core compute and storage layer.

Downstream: banking and payments

The financial services impact was immediate and widespread. ADCB mobile banking and contact centre went offline. Emirates NBD phone banking was disrupted. Payment platforms Alaan and Hubpay went down entirely — not degraded, unavailable. Careem, the region's dominant ride-hailing and delivery platform, was disrupted. Snowflake reported regional outages affecting enterprise data and analytics workloads. Claude AI experienced availability problems. Reuters reported multiple unnamed financial institutions were affected.

CASCADE IMPACT DIAGRAM



Recovery: 16+ days — no full restoration as of March 18

> *In previous conflicts, adversaries targeted pipelines, refineries, and oil fields. In the compute era, these actors could also target data centres, energy infrastructure supporting compute, and fibre chokepoints.*
>
> — Center for Strategic and International Studies (CSIS), March 2026

Sources: CNBC, The Register, Cybersecurity News, Cybele Software

THE CORE TENSION

The Data Residency Paradox

WHAT IS MULTI-AZ REDUNDANCY?

AWS organises each geographic region into multiple "availability zones" (AZs) — physically separate data centres within the same metro area, connected by low-latency networking. The standard resilience pattern is to deploy workloads across at least two AZs, so that if one fails through a technical fault, the other continues operating. Multi-AZ architecture is designed for independent, uncorrelated failures — a power outage in one facility, a cooling system failure in another. It was not designed for coordinated kinetic attacks that affect an entire geographic area simultaneously.

The technical imperative

When two of three availability zones went offline and the region's infrastructure sustained physical damage, the standard engineering response is failover: route traffic to eu-west-1, us-east-1, or any healthy region. Technically, this is straightforward. Most well-architected applications can switch regions within minutes if the architecture supports it.

AWS's own advisory made the recommendation explicit: migrate workloads to alternate regions. From a pure availability standpoint, this is the correct answer. The infrastructure in the Middle East was physically damaged. The path to recovery was weeks. Customers needed their services running.

The legal problem

UAE and Bahrain central bank mandates require financial data to remain in-region. TDRA compliance frameworks specify data residency. Failing over to another region resolves the outage but potentially violates these requirements — creating a legal exposure at the exact moment you're trying to solve an operational crisis.

The Dubai Financial Services Authority issued emergency guidance allowing temporary cross-border processing. But many organisations discovered at 4:30 AM during a live incident that they had no pre-approved authority for cross-border failover. The legal authority to approve emergency data movement should be established before the incident, not during one.

INDUSTRY RESPONSE

How the Industry Reacted

AWS: 36 hours of ambiguity

AWS's initial communications described the cause as "objects" and a "localized power issue." The company confirmed drone strikes 36 hours later, on March 2 at 7:19 PM EST. The gap matters: for a day and a half, customers making decisions about failover, data migration, and incident response were operating without accurate information about the cause, scope, or likely recovery timeline. Whether this was operational caution or deliberate opacity, the effect was the same — customers couldn't make informed decisions during the critical first hours.

> *We continue to strongly recommend that customers with workloads running in the Middle East take action now to migrate those workloads to alternate AWS Regions. The ongoing conflict in the region means that the broader operating environment in the Middle East remains unpredictable.*
>
> — Amazon Web Services, March 3, 2026

AWS then pursued parallel recovery: physical restoration alongside software mitigations. The statement that "the broader operating environment in the Middle East remains unpredictable" was unprecedented. A hyperscale cloud provider publicly acknowledging that geopolitical instability makes its infrastructure unreliable in a region has no precedent in the industry's history.

Other cloud providers

Google, Microsoft, and Oracle — all of which operate data centres in the region — declined to comment publicly. None reported outages from this event. But the CSIS warning applies equally: roughly 326 data centres across the Middle East are within range of the same threats. The physical risk isn't vendor-specific. It's geographic.

The broader implications

The CSIS analysis framed this as a paradigm shift. In previous Gulf conflicts, adversaries targeted oil infrastructure — pipelines, refineries, fields. In the compute era, data centres join that target set. The Semafor and The Information reported that $300 billion in Gulf AI and data centre investments are now being reassessed in light of the strikes. The assumption that the Middle East's massive investment in digital infrastructure would be treated as civilian and therefore off-limits in conflict has been invalidated.

Sources: The Register, CNBC, Marketplace, Data Center Knowledge

LESSONS & IMPLICATIONS

What This Changes

A new category of cloud risk

Previous major AWS outages — including the US-EAST-1 disruption in October 2025 — were caused by operational issues: misconfigurations, software bugs, power grid failures. Software outages can often be resolved in hours. Physical damage to cooling systems, power infrastructure, and server hardware requires on-site assessment, component replacement, safety clearances from local authorities, and structural repair. The recovery timeline for kinetic damage is fundamentally different from the recovery timeline for software failures. Every disaster recovery plan that assumed "worst case: a few hours" needs revisiting.

Multi-AZ is not enough

AWS's multi-AZ architecture is designed to survive the failure of a single availability zone through independent technical faults. It was not designed for two out of three zones being simultaneously hit by coordinated military strikes, with a third zone in a neighbouring country also damaged the same day. The cascading failure pattern — az2 hit, az3 degraded, az1 experiencing errors, then Bahrain — exposed assumptions in the resilience model that held for software failures but not for kinetic attacks across a geographic area.

Vendor diversification in the same geography is theatre

Spreading workloads across AWS, Azure, and GCP doesn't help if all three operate facilities within the same conflict zone. Multi-cloud in the same geography is diversification theatre. The risk is physical proximity, not vendor dependency. Google's Dammam region, Microsoft's Azure UAE North, and AWS ME-CENTRAL-1 are all within range of the same threats. True resilience requires geographic separation — and that conflicts directly with data residency requirements.

The "unpredictable operating environment" statement

AWS publicly stated that the broader operating environment in the Middle East "remains unpredictable." This is extraordinary. A hyperscale cloud provider acknowledging that geopolitical instability makes its infrastructure unreliable in a region shifts the conversation from "how do we optimise in this region" to a harder question about whether critical workloads should be there at all. It also has implications for shared responsibility models and SLA enforcement — if the provider has publicly acknowledged unpredictability, what does that mean for contractual commitments?

KEY TAKEAWAYS

→ **Kinetic risk is now a cloud risk category.** Physical destruction of cloud infrastructure by military action has moved from theoretical to demonstrated. Disaster recovery plans built around software

failure assumptions are incomplete.

→ **Multi-AZ resilience has a boundary condition.** Coordinated strikes across availability zones in the same region bypass the independence assumption that multi-AZ architecture depends on.

→ **Multi-cloud in the same geography is not diversification.** The risk is physical proximity to conflict, not vendor dependency. Geographic separation is the only meaningful mitigation.

→ **Data residency and resilience are now in direct tension.** The legal authority for emergency cross-border failover must be established before the incident, not during it.

→ **Recovery timelines for physical damage are measured in weeks.** Engineering teams accustomed to hours-long recovery from software outages need fundamentally different planning for kinetic scenarios.

Sources: The Register, CNBC, Data Center Knowledge, Cybersecurity News, AWS re:Post, Medium (DR lessons)

OTHER NEWS THIS WEEK

In Brief

Microsoft integrating Claude into Copilot Wave 3 — Agent 365 launching May 1 at $15/user. E7 Frontier Suite at $99/user. Claude in mainline Copilot chat. *Windows Central*

Anthropic launched $100M Claude Partner Network (Mar 12) — enterprise training, Claude Certified Architect certification, co-marketing. *Anthropic*

Revolut secured full UK banking licence (Mar 11) — FSCS-protected deposits for 13M customers. $75B valuation. Credit products coming. *Reuters, CNBC*

PMI and Agile Alliance released Manifesto for Enterprise Agility (Mar 3) — extending agile principles from team delivery to enterprise governance and funding. *Agile Alliance*

Pragmatic Engineer AI survey: 95% weekly AI usage, Claude Code #1 tool — 906 respondents. Claude Code overtook Copilot and Cursor in 8 months. *Pragmatic Engineer*

ON THE RADAR

Coming Up

DEADLINES & REQUIRED ACTIONS

Apr 19	Claude Haiku 3 model retirement — migrate to Haiku 4.5
Apr 30	Node.js 20 end of life — migration to v24 recommended

Aug 2	EU AI Act high-risk obligations take effect — conformity assessments, CE marking, EU database registration required

EVENTS & CONFERENCES

Apr 22	AWS Summit London — expect Bedrock, Trainium, and ME recovery announcements
Apr 29	Zero Day Con, Dublin — Ireland's largest cybersecurity conference
May 1	Microsoft Copilot Wave 3 / Agent 365 launch ($15/user)

RECOMMENDED READING

Sources & Further Reading

AWS says drones hit two of its datacenters in UAE	The Register
Banking, payments disrupted after AWS UAE drone strikes	CNBC
AWS Middle East Outage After Data Centers Hit by Drone Strikes	Data Center Knowledge
Drone strikes highlight data center vulnerabilities	Marketplace
AWS UAE Drone Strike Outage: DR Lessons Every Cloud Architect Needs	Medium
AWS ME-CENTRAL-1: 109 Services Disrupted	Cybersecurity News
Service disruption in AWS Middle East Region	AWS re:Post
AWS Outage March 2026: VDI Impact & Alternatives	Cybele Software

Engineering Digest

March 2026 · Deep Dive · DD-1

Issue 0 · Feb 18 – Mar 18 · Monthly · DD-1 · Mar 2026 · Deep Dive

Next weekly edition: March 25, 2026